

## Management Allocations Simplification

From 1<sup>st</sup> April 2020, we will stop allocating shared costs across different Market / Factory / Leaf Origin / Function hosted within the same legal entity.

As part of Transformation, IT, Indirect Procurement, Treasury, Tax, Security and AIT functions across JTI will be Verticalized under respective Global Functions. With this upcoming Verticalization, virtually every entity will host a combination of Market / Factory / Leaf Origin and Global Functions.

In order to avoid the proliferation of management allocations, to align cost accountability with the ARCI model, and to ensure efficient planning and actuals posting processes, the following guidance will be implemented starting on **1<sup>st</sup> of April 2020**:

- In line with previous guidelines from the Transformation Office, the newly verticalized functions will not allocate their costs to other functions they provide service to, and they should not receive any management allocation for shared costs (such as rent, utilities and P&C support and other service costs<sup>1</sup>).
- Rent, utilities, P&C services and all other service costs<sup>1</sup> will not be allocated between the different management accountabilities hosted within an entity (e.g. Market / Factory / Leaf Origin / Function / Region). Costs will be fully reported following the “accountability principle” (see examples in appendix) in order to guarantee cost visibility, alignment with ownership and effective cost management.
- Existing management allocations of rent, utilities, P&C services and other service costs<sup>1</sup> outside the verticalized scope will also cease, to reflect the above guidance.

Ultimately this will lead to a reduction of non-value-added activities within markets, reducing overall transactional processes and complexity when planning which currently results in minimal benefit for JTI. In line with Transformation principles it will lead to increased cost transparency and ownership.

Should you have any concerns or questions regarding this guidance, please raise them by **February 28<sup>th</sup>, 2020** using the following email address: [Management Allocations](#).

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<sup>1</sup> Service costs can include People costs, Stationary costs, Vehicle expenses, Mobile Phone costs, Postal Services, Catering costs, Wellness costs, Employee Events costs etc.

Those who are currently performing management allocations within a single legal entity are requested to submit an estimation of the OCC impact of this change across the different management accountabilities (i.e. by Profit Center) to Corporate FP&A by **February 28th, 2020** using the attached template. Further instructions will be released in due course by Corporate FP&A regarding adjustment of their respective committed OCC for June LE (this change should not be reflected in the March PMM).

Legal cross-charges are not in scope of this guidance, they are expected to continue as required. Guidelines regarding statutory aspects and calculation of legal valuation for transfer pricing prospective will be released in due course.

Should you need additional information, please use [Management Allocations](#) Inbox.

## Appendix 1 - Examples

**Example 1:** Building rent costs are managed by General Service in entity XXXX. General Service in entity XXXX is a function reporting hierarchically to Market General Manager. Building rent costs should be therefore planned and reported fully with the Market OCC within the same entity.

**Example 2:** Payroll team in entity YYYY is reporting hierarchically to Factory General Manager. Therefore, Payroll service costs and departmental costs will be planned and reported fully with Factory OCC within the same entity<sup>2</sup>

**Example 3:** Local IT in entity ZZZZ is verticalized under Global IT function. Full costs of local IT department and IT infrastructures will be reported under Global IT function within the same entity.

**Note:** the CIEM (Community Investment in Emerging Markets) process is not in scope of this guideline and is expected to continue as is

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<sup>2</sup> Guidelines regarding calculation of legal valuation for transfer pricing prospective will be released in due course.

## Appendix 2 – Cost accountability matrix

| Cost Description                        | Cost nature                            | Cost accountability                            | Comments                                                                                                                                                                                                                            |
|-----------------------------------------|----------------------------------------|------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Salary                                  | Direct people cost                     | As per CC hierarchy                            |                                                                                                                                                                                                                                     |
| Fringes legally required                | Direct people cost                     | As per CC hierarchy                            |                                                                                                                                                                                                                                     |
| Bonuses                                 | Direct people cost                     | As per CC hierarchy                            |                                                                                                                                                                                                                                     |
| Fringes - company car and related costs | Direct people cost                     | As per CC hierarchy                            |                                                                                                                                                                                                                                     |
| Temporary labor                         | Direct people cost                     | As per CC hierarchy                            |                                                                                                                                                                                                                                     |
| T&E                                     | Indirect people cost                   | As per CC hierarchy                            | Costs not directly attributable like conferences for the whole staff to be fully reported under the organizing department                                                                                                           |
| Training                                | Indirect people cost                   | As per CC hierarchy / P&C                      | Costs not directly attributable like global trainings to be reported under local P&C                                                                                                                                                |
| Recruitment                             | Indirect people cost                   | As per CC hierarchy / P&C                      | Costs not directly attributable to be reported under local P&C                                                                                                                                                                      |
| Office space                            | Indirect people cost                   | Local P&C                                      | No allocation of rent per CC / PC                                                                                                                                                                                                   |
| Other admin/supporting costs            | Indirect people cost                   | Local supporting department                    | No allocation per CC / PC                                                                                                                                                                                                           |
| Consulting                              | Cost managed by Functions              | As per accountable department's reporting line |                                                                                                                                                                                                                                     |
| Depreciation                            |                                        | As per accountable department's reporting line | No allocation of depreciation per CC / PC                                                                                                                                                                                           |
| Hardware                                | Cost managed by IT                     | Global IT                                      |                                                                                                                                                                                                                                     |
| Software                                | Cost managed by IT                     | Global IT                                      | Incl. Sales, M&S, WH, etc. i.e. all software cost <u>except</u> specialized equipment Security and Production-related                                                                                                               |
| NCC - Cellular Phones                   | Cost managed by IT                     | Global IT                                      | No allocation of cellular phones by CC / PC                                                                                                                                                                                         |
| NCC - Fixed Telephony                   | Cost managed by IT                     | Global IT                                      |                                                                                                                                                                                                                                     |
| NCC - Network                           | Cost managed by IT                     | Global IT                                      |                                                                                                                                                                                                                                     |
| NCC - Others                            | Cost managed by IT                     | Global IT                                      |                                                                                                                                                                                                                                     |
| Other expenses                          |                                        | As per CC hierarchy of accountable department  | No allocation of costs not directly attributable                                                                                                                                                                                    |
| Security programs and initiatives       | Cost managed by Corp Security          | Global Corporate Security                      | Exception for markets/factories/leaf origins where no Corporate Security staff is present on permanent basis: cost kept by local market / factory / leaf origin                                                                     |
| Outsourced Security Services            | Cost managed by Corp Security          | Global Corporate Security                      | Incl. uniform guards, mail room security, VIP escort / close protection, airport security meet & greet, residential security, detection / surveillance activities                                                                   |
| Safety Maintenance                      | Cost managed by Corp Security          | Global Corporate Security                      | Incl. emergency lighting maintenance, security systems maintenance, GPS systems maintenance, evacuation alarm / Public Address System (building speaker system) maintenance                                                         |
| Safety maintenance                      | Cost managed by general services       | As per General Services reporting line         | Incl. maintenance of: sprinklers, fire detection system, fire extinguishers, shlorin detectors, fireproof curtains, fire supervision system, fire brigade connection, physical security (fire infrastructure equipment, fire doors) |
| Logistics security cost                 | Cost managed by local market / factory | Market / factory                               | Incl. security escorts provided during FG transport, third party warehouse security related costs                                                                                                                                   |